"ADVANCED MANUFACTURING" CEQA EXEMPTION IN SB 131

MYTH	FACT
"Advanced Manufacturing" Facilities Pose Minimal Pollution Risks	**"Advanced" Does Not Mean "Clean"**
"Advanced manufacturing facilities use clean, ecologically-friendly technologies that minimize pollution and mitigate environmental impacts."	The "advanced manufacturing" definition in SB 131 includes any facility that "improves existing or creates entirely new materials and processes," with no criteria requiring a reduced environmental footprint.[1] The state has already classified **lithium recovery plants**, **aerospace manufacturing** facilities, and a **strip mine** as "advanced manufacturing" sites, among 64 other categories (listed in full on the following page), many of which pose significant risks and may be exempt from CEQA under SB 131.[2]
Impacts from "Advanced Manufacturing" Facilities Will Be Confined to Industrial Zones	**Industrial Zoning is Insufficient to Protect Residents from Pollution Hazards**
"Advanced manufacturing facilities will be sited only within industrial zones that have already been assessed, through the CEQA process, for their capacity to support manufacturing activity. Therefore, project-specific CEQA review is redundant and poses minimal benefit to the surrounding environment."	Industrial zones are over-concentrated in disadvantaged communities statewide, as the Legislature recognized under SB 1000 (2016), and continue to present risks to nearby schools, residences, and other sensitive receptors.[3] Further, programmatic CEQA reviews conducted during rezoning processes and general plan amendments often **lack the project-level scrutiny** necessary to mitigate the specific environmental and health harms that future developments may pose on neighboring communities.
Other Laws Are Sufficient to Protect the Public from Industrial Hazards	**CEQA Helps Operationalize, and Improve Efficiency of, Other Environmental Laws**
"Projects exempt from CEQA will still be subject to other laws regulating air and water quality, waste management, and other risk factors, which are adequate to protect the public from industrial pollution."	The CEQA review process is often necessary to identify potential environmental effects, trigger related permitting processes, and involve local resource management agencies in project planning. Additionally, by requiring a comprehensive, up-front evaluation of all potentially significant negative impacts, CEQA can lead to **alternative project designs** and **stronger mitigation measures** than would be required under narrower, issue-specific regulations.[4]
SB 131 Eases Litigation Burdens	**SB 131's Broad Terms May Create Litigation**
"By providing a broad, simple exemption for 'advanced manufacturing' projects, SB 131 will reduce project litigation and clarify the planning process."	By failing to clearly define "advanced manufacturing," **SB 131 may invite lawsuits** from project opponents seeking to challenge whether a project qualifies for the CEQA exemption. This ambiguity could leave courts to interpret the term, potentially in ways that diverge from the Legislature's original intent.

"ADVANCED MANUFACTURING" PROJECT CATEGORIES

The definition of "advanced manufacturing" cited in SB 131 was written initially for California's STE tax credit program. As of 2024, the STE program had classified 124 projects as "advanced manufacturing," including those within the categories listed below, all of which may feasibly qualify for **CEQA exemption under SB 131**:

Defense and Aerospace Manufacturing	AirCarbon Manufacturing
Rare Earth Materials Production [Strip Mining]	Metal Forging
Lithium Recovery and Processing	Soil Amendments Production
Biomass Processing and Fuel Production	Tooling and Metal Stamping
Precious Metals Recycling	Peptide Pharmaceutical Manufacturing
Semiconductor and Related Equipment Manufacturing	Thin Steel Plate Manufacturing
Fertilizer Production	Medium Density Fiberboard Production
Lithium Battery Cell Manufacturing	Specialized Concrete Ring Manufacturing
Metal Products Manufacturing	Silicon Anode Powder Manufacturing
Sequestered Carbon Manufacturing	Animal Feed and Organic Fertilizer
Electric Vehicle Battery Manufacturing	Fuel Grade Hydrogen Production
Plug-In Hybrid Vehicle Manufacturing	Plastic Bottle Manufacturing
Advanced Food Production	Pre-Engineered Structural Shell Production
Biopharmaceutical Manufacturing	Carbon Black Production
Medical Device Manufacturing	Optical Ferrule Manufacturing
Plastic Recycling	Corn Oil Production
Advanced Carpet Recycling	Aero Engine Ring Forging
Water Bottling	Medical Waste Recycling
Advanced Packaging Label Production	Additive Manufacturing
Composites Manufacturing	Turned Part Manufacturing

Developers may also seek to apply the "advanced manufacturing" CEQA exemption to include the following facilities:

Data Centers	Dairy Biogas Production
Petroleum Refineries	Landfill Gas Capture and Production
Nuclear Energy Testing and Development	Metal Mining and Extraction
Chemical Manufacturing	Lead-Acid Battery Recycling

NOTES

1. Senate Bill 131 (2025).
2. The "advanced manufacturing" definition cited in SB 131 was written for California's Sales and Use Tax Exclusion (STE) program. A list of "advanced manufacturing" projects funded by the program between 2010 and 2024 is included in Appendix A of the 2024 CAEATFA annual report, published to: https://www.treasurer.ca.gov/caeatfa/annual/2024.pdf.
3. Governor's Office of Land Use and Climate Innovation, *General Plan Guidelines, Chapter 4: Required Elements* (Environmental Justice Element), June 2020.
4. Permits and agency consultation are facilitated under CEQA pursuant to Cal. Code Regs. tit. 14, § 15086. Assessment of project alternatives and mitigation is required under PRC § 21002.

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